Sharing:
How to Cascade and Ladder OKRs

The Foundation

Cascading and Laddering OKRs help teams stay aligned from top to bottom. Use this guide to translate your organization's broadest OKRs into the day-to-day work of teams and individuals.

- With OKRs, create teams based on outcomes not org charts. Resist the urge to go straight down your org chart, layer by layer.
- ACTION: for each Objective, draw a circle around the individuals who are most critical to achieving success. The circle might include: the whole company, a cluster of teams, or a few cross-functional folks.

> ❗ *"Where to draw the circles?" is the most important call leadership makes in kicking off an OKR cascade.*

How a Typical Cascade Works: Step 1

Once the circle is defined, that team is ready to draft an OKR. Once everyone in the circle has committed to the OKR, assign a single owner to the OKR as a whole, and one for each KR too.

Ownership does not mean that person is doing all the work — it means they are accountable for rallying the team whenever its success is at risk and co-creating a plan to get back on track.

COMPANY		
Objective	Be the Best Place to Achieve Care Anywhere	Person 1
KR1	Decrease sepsis mortality to 0	Person A
KR2	Increase plan of care visit to >85%	Person B
KR3	Reduce surgical complications by 30%	Person C

How a Typical Cascade Works: Step 2

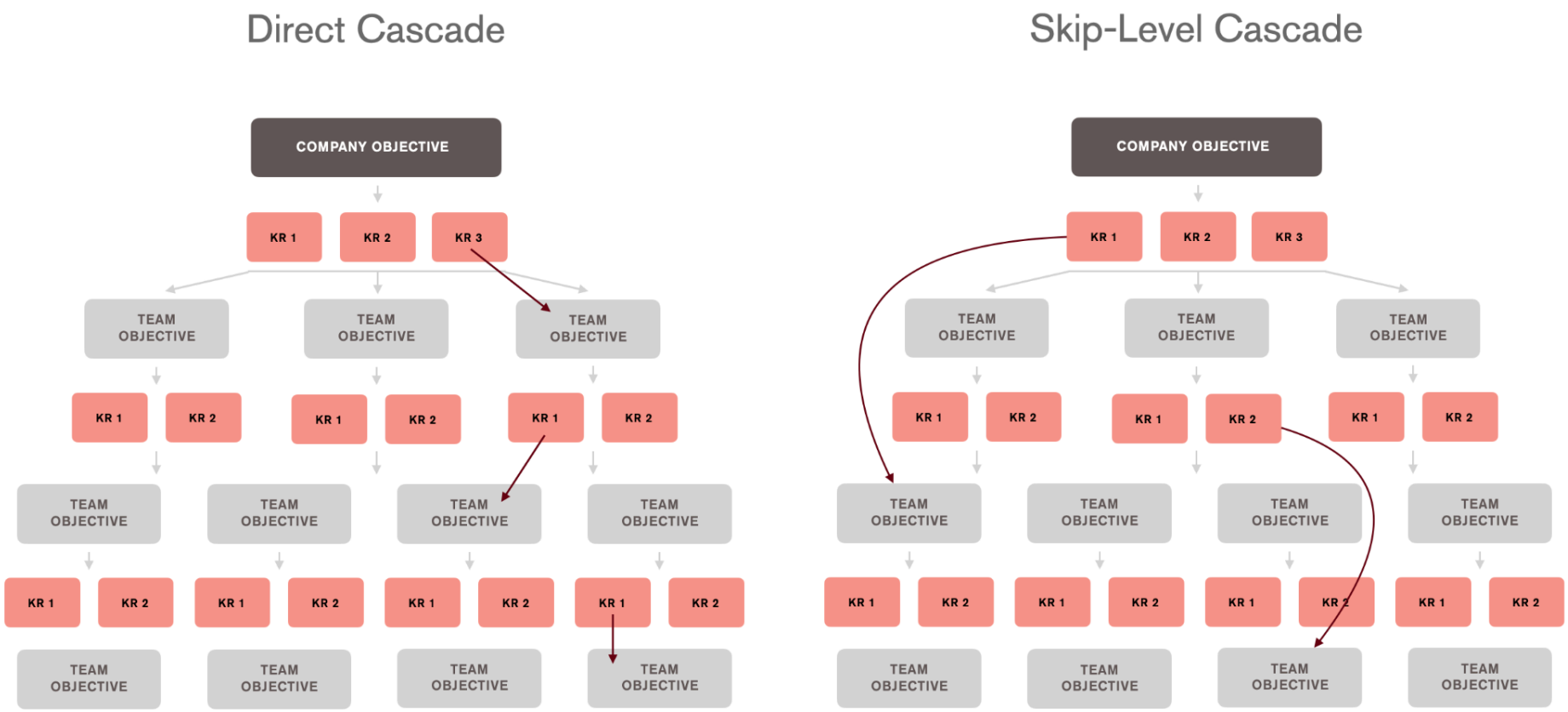
Once an Objective or a Key Result is assigned to an owner, that owner can choose to cascade to another level in the organization. When goals **cascade,** typically, a Key Result at one level becomes an Objective at another level.

COMPANY		
Objective	Be the Best Place to Achieve Care Anywhere	Person 1
KR1	Decrease sepsis mortality to 0	Person A
KR2	Increase plan of care visit to >85%	Person B
KR3	Reduce surgical complications by 30%	Person C

TEAM		
Team Objective	*(Rewrite Key Result as objective)*	Person F

How a Typical Cascade Works: Step 2 (con't)

Pro tip: You *can* cascade directly down your org chart, but it *may* be best to cascade to a partner somewhere else in the organization.



How a Typical Cascade Works: Step 3

The owner of the cascaded KR drafts it as a new Objective that reflects the same idea/intent, but puts it into words that will inspire their own teams. Most Objectives don't include metrics - they describe the overall outcome. If you inherited a cascaded KR with a metric in it, you can put it in the new set of Key Results.

COMPANY		
Objective	Be the Best Place to Achieve Care Anywhere	Person 1
KR1	Decrease sepsis mortality to 0	Person A
KR2	Increase plan of care visit to >85%	Person B
KR3	Reduce surgical complications by 30%	Person C

TEAM		
Team Objective	Deliver safer surgeries	Person F
KR1	Reduce surgical complication by 30%	Person G
KR2	Cut hand-off errors by 40%	Person H
KR3	Implement safety checklists for 95% of surgical procedures	Person K

🥳 You’re halfway through the Sharing stage!!

Next up: Laddering. At this point, you know how to pass an OKR down to another level, and you know how to translate a Key Result into a team-level Objective. If one OKR is all your team has time to accomplish this cycle, you might be done setting your OKRs.

Most of the time, though, your team will have bandwidth for at least one more priority. If no more OKRs have been cascaded to you, it’s time to *ladder*.

Laddering

Laddering OKRs ensures that insight and expertise from the front-line informs the organization's highest-level priorities.

- Laddering is the process of creating an OKR from bottom-up instead of top-down. The key difference from cascading is which team initiates writing the OKR.

- To ladder, your team may use any other OKR in the organization for inspiration. It does not have to be the OKR from the person or even the direct department you report to.

Because laddering begins with the teams closest to customers, systems, and day-to-day execution, laddering helps create a feedback loop between strategy and reality. Done well, laddering fosters innovation, experimentation, and local problem-solving to strengthen an organization's goals.

How a Typical Ladder Works

Once the organization's top-level OKRs are shared, sit down with your team.

- Discuss "where can our team make the most impact?"
- How far could we move the lever on this in this cycle?

If your team doesn't see an obvious connection to the top-level OKRs, scan the next layer and ask the same questions.

Use the discussion to inspire your team's OKRs.

If you're inspired by a Key Result, re-write it as an Objective that uses the team's own words to capture the central idea. Put the metric in the new set of Key Results.

The Difference Between Cascading and Laddering

Cascading	Laddering
Kicks off at executive level	Self-initiated as long as it (ultimately) aligns with a higher-level OKR.
Goals flow from the top of the organization towards the bottom	Goals can flow in any direction: bottom up, peer-to-peer.
Goals are delegated	Goals are chosen
Connect high-level strategy to day-to-day work	Connects frontline insight to high-level strategy
Make up 50% of your total OKRs	Make up 50% of your total OKRs

Resource Center

Find additional resources here:

- Learn more about *cascading* and *laddering*.
- Facilitator's Playbook (how to resolve conflicts/misalignment through productive dialog) LINK TK
- OKRs Explained, *the official OKR training from Measure What Matters*
- Check out our other templates